SUGAR COSMETICS: THE WAY FORWARD

A growth brand, a shrinking business, and the price of a second chance

AIMA–India Case Research Centre (ICRC) • India Case League 2026

October 2026: the briefing that could not wait

The renewed investment offered SUGAR Cosmetics an opportunity, but not a reset button. In September 2026, existing investor A91 Partners subscribed to a reported ₹144.47 crore issue of compulsorily convertible preference shares. For a company whose operating revenue had contracted and whose losses had increased, the funding was critical, and put the spotlight on a dramatic reduction in reported valuation. As the festive shopping season approached, co-founders Vineeta Singh and Kaushik Mukherjee faced a question that a fresh cheque alone could not answer: what sort of business should SUGAR become now? [1, 2]

Singh and Mukherjee had asked a newly inducted strategy team in the CEO's office to prepare an integrated 24-month recommendation. The assignment was more difficult than a routine turnaround exercise. The team had to decide whether to rebuild sales rapidly or accept a leaner network, a narrower portfolio and potentially slower revenue recovery in return for stronger cash discipline. It also had to explain its decision to investors, employees, distributors, digital platforms and consumers—audiences with different expectations but access to the same public headlines.

A recent interview with Mukherjee described the chain of decisions that had brought SUGAR to this point: rapid physical expansion, inventory pressure, a warehouse fire and an eventual move toward fewer outlets and core products. None of these issues could be solved by advertising alone. Yet withdrawing from too many consumer touchpoints could make a once-distinctive Indian beauty brand less visible just as competitors advanced. A business that remained popular with customers could still run out of cash; a business that conserved cash could still lose relevance. [2]

The brand that challenged established beauty companies

SUGAR grew out of the customer knowledge Singh and Mukherjee acquired through FAB BAG; their beauty subscription venture was launched in 2012, and they introduced SUGAR Cosmetics in 2015, positioning it around expressive, high-performance makeup suited to Indian skin tones and lifestyles. SUGAR's appeal lay in being aspirational without relying on the heritage of an international cosmetics company. The company's own brand

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communication emphasized products designed for Indian consumers rather than adapted from another market. [3]

Digital channels offered access to young consumers, influencers and fast product feedback. SUGAR's founders also understood a limitation of an online-only approach: makeup was experienced through shades, textures and trials, and many consumers preferred recommendations or physical comparisons before buying. SUGAR therefore extended beyond its website and marketplaces into retail counters, partner outlets and exclusive stores. Singh's wider public profile as a television business-investment judge added consumer awareness, although brand recognition and repeat purchases were not necessarily the same. [2, 3]

By FY 2023–24, the business had reached reported operating revenue of ₹505.10 crore, up from ₹420.28 crore in FY 2022–23. That progress made the company a visible example of direct-to-consumer model moving into national retail. However, its next phase required a different skill: maintaining product availability and productive inventory across a much wider distribution system. [4]

The economics of being everywhere

A digital-first brand could test an advertising campaign quickly; but operating hundreds of product variations across thousands of physical selling points was harder indeed. Foundations required shades; lipsticks required colors; retailers wanted relevant stock available at the moment a customer asked. Each additional product and counter potentially improved choice and visibility, but also consumed working capital, increased handling complexity and risked slow-moving inventory. A sale made to a distributor and a repeat purchase made by a satisfied customer were not the same indicator of brand strength.

During its expansion, SUGAR reportedly compared its reach with established players such as Lakmé and Maybelline. A September 2026 investigation described a peak broader retail footprint of more than 2,400 stores, including roughly 200 exclusive brand outlets, and reported plans to reduce the overall store count to around 1,000–1,100. The interview also described plans that could reduce exclusive outlets to around 65, possibly fewer, depending on performance. These were reported plans, not proof that every closure had been completed. [2]

The channel problem was not simply rent; counters required merchandise, product refreshes, people, distributors and time to replenish. A product could be available somewhere in the network while missing where consumers wanted it. When businesses expand faster than their understanding of store productivity, the geographic presence can mask a decline in sales per point of distribution. For the strategy team, the pivotal distinction was between a store that increased profitable consumer access and one that merely placed inventory in the market.

The November 2024 shock

The risk became acute after a fire at SUGAR's Bhiwandi warehouse in November 2024. The reported inventory losses with an estimated maximum retail price of around ₹80 crore, citing a source trusted with the developments. This was a MRP-based estimate, not a disclosed accounting write-off or an estimate of net cash loss. The event disrupted product availability in a period when the business already carried an extensive assortment and retail network. [2]

Mukherjee subsequently estimated in his interview that the warehouse incident accounted for only part of the company's difficulties; aggressive expansion had already made recovery more demanding. A report described orders that could not be fulfilled owing to stock shortages, alongside expenses that could not be reduced immediately. It also cited unnamed sources on cash burn and financing support during the period. Because those numbers were not confirmed in public accounts, this case did not treat them as audited cash-flow data. [2]

The implications were broader than one lost warehouse. Product unavailability weakened a brand's promise, while resupplying too broadly could absorb scarce cash. Holding safety stock may protect future sales but required capital. Cutting the product range improves control yet could narrow choice in a category where consumers often

seek particular shades. The team needed to decide whether reliability of core products had become a stronger competitive asset than ever-broader assortment.

A rising marketing bill, then falling sales

Regulatory-filing-based media reports showed a marked reversal after the growth years. Operating revenue increased by approximately 20% in FY 2023–24 and then declined by approximately 20% in FY 2024–25 to ₹404.4 crore. The reported annual loss grew from around ₹68 crore to about ₹135 crore. The year-by-year comparison is shown in Annexure A. The pertinent question for SUGAR was whether all sales losses reflected weaker end-consumer demand: supply disruption, store closures, changing channel mix and discounting or was it just poor operations and execution. [1, 4]

The company's reported advertising and sales-promotion expenditure in FY 2023–24 was approximately ₹162 crore, equivalent to around 32% of operating revenue. The figure made the marketing dilemma concrete: the company had invested heavily in building attention while distribution and inventory were becoming more expensive. The case does not assume that advertising could be cut by an equivalent amount without affecting sales. Nor does it assume that all of the advertising outlay was ineffective. The challenge was to decide which brand investments demonstrably created repeat purchases, and which activities merely delivered short-lived volume. [5]

The consequences extended into organizational choices. A smaller set of products and channels could possibly produce stronger unit economics, but it could also reduce the scale on which fixed corporate expenses were spread. Conversely, a new growth campaign could increase sales and working-capital requirements before the business restored fulfilment reliability. Financial recovery would therefore require a linked decision about assortment, inventory, channels, marketing and cash—not a single cost-cutting target.

A91's investment and the valuation question

In September 2026, company-filing-based reports stated that SUGAR allotted 112,248 Series D7 compulsorily convertible preference shares at ₹12,871 each to A91 Emerging Fund III. The reported ₹144.47 crore transaction strengthened funding at a time of difficult trading. Earlier, L Catterton had led a $50 million investment in 2022.

A follow-up Moneycontrol report dated 15th September stated SUGAR was in talks to raise a further ₹100–105 crore from A91. Because this was described as prospective funding to be delivered over time, it was not included in the case as cash already received. Annexure B separates the disclosed subscription from reported intentions and valuation estimates. [2]

The capital decision also created a management obligation. Investors who had backed the brand at richer valuations needed credible milestones, not broad assurances. A91's participation showed continued support from an existing investor, but it did not establish that SUGAR's entire capital structure or future cash needs were known publicly. Without a verified closing cash balance, outstanding debt, monthly cash-flow profile or instrument rights, teams could not responsibly announce a precise runway, equity return or liquidation value as a fact. They could however, design a measurement system and explain the evidence management would need before releasing further capital.

A crowded beauty shelf

SUGAR's reset was taking place in a market where customers could choose global brands; for instance, Lakmé and Maybelline had long-standing physical availability. RENEE Cosmetics attracted attention through accessible color cosmetics and new product launches. Nykaa was both an important route to customers for independent brands and the owner of a growing portfolio of its own beauty products. [7, 8]

The numbers made the competitive question uncomfortable. RENEE reported ₹440 crore of operating revenue for FY 2025–26, up from ₹321 crore in FY 2024–25, and a narrower reported EBITDA loss of ₹36 crore. Nykaa reported

Q1 FY 2026–27 consolidated revenue of ₹2,782 crore and 324 stores, while presenting continued growth in its own brands. These results had different reporting periods and business definitions and could not be read as a direct market-share ranking against SUGAR. Nevertheless, they showed that others were still finding ways to grow while SUGAR was retrenching. [7, 8]

The platform relationship was inherently conflicted. Marketplaces and quick-commerce operators could improve reach and discovery, but retail visibility, fees, promotions and data access were not fully under SUGAR's control. A proprietary website created more control over brand experience but required customer acquisition and fulfilment investment. An exclusive outlet showcased the whole assortment but could be unprofitable. A multi-brand counter required less direct fixed infrastructure but competed for attention with other labels. Choosing a channel required understanding both the first sale and the replenishment economics.

A smaller SUGAR—or a different SUGAR?

The reported management response already begun: reduce retail exposure, concentrate working capital on a narrower assortment and restore availability of dependable products. Mukherjee told in an interview that SUGAR had identified approximately 250 'never out of stock' products from a portfolio that once extended to roughly 850 SKUs. The quotation described a management approach, not a complete product-level profitability analysis. A group of 250 priority items might account for substantial demand; it might also leave profitable niche customers underserved. [2]

There could be a possible movement toward a roughly balanced online–offline channel mix, compared with a more offline-heavy earlier model. That target could make SUGAR less dependent on fixed-cost stores but moving sales back to online platforms could increase marketing or marketplace fees. A report also suggested that Singh would devote more attention to SUGAR operations while Mukherjee would take a greater role in Quench[1], its skincare business. This created a further choice about management bandwidth and portfolio focus: should scarce capital be concentrated on color cosmetics, or should a second brand remain an engine for future growth? [2]

The strategy team at SUGAR had to share few broad paths; they could undertake a disciplined core-brand rebuild, directing cash into product availability and the highest-performing channels while postponing expansion. It could invest in an accelerated, digitally oriented growth relaunch, trading near-term cash for renewed consideration and sales momentum. Or it could pursue a selective portfolio-and-partner model, using independent retailers and platforms to maintain national reach while retaining only the stores and product lines that justified their capital; but, none of these was cost-free. Each path required decisions about trade credit, assortment complexity, gross-to-net realization, marketing spend and the speed at which investors should expect proof.

The board briefing

As October 2026 drew to a close, Singh and Mukherjee needed a recommendation that could be implemented before another cycle of spending locked the company into its old cost structure. They asked the newly inducted strategy team for a 24-month plan that began with the diagnosis, not the slogan. Was SUGAR's most important problem insufficient demand, poor product availability, excessive distribution, uneconomic acquisition spending, or an interaction among them? What evidence separated a temporary revenue interruption from lasting erosion of brand relevance?

The team would have to establish the order of decisions. How fast should the retail network contract? Which products and channels should receive scarce inventory first? What level of marketing could protect the brand while preserving cash? Should Quench be supported as a growth option or ring-fenced until the core brand stabilized? And what milestones would justify expansion again?

[1] *Quench Botanics is a Korean skincare brand launched in 2022 by Vellvette Lifestyle (the parent company of SUGAR Cosmetics) in partnership with founders Vineeta Singh, Kaushik Mukherjee, and Bollywood actress Kareena Kapoor Khan.*

Finally, the investor story and stakeholder story had to be consistent. A plan that reassured investors by promising aggressive cost reductions could unsettle employees and distribution partners. A public message that celebrated reach and growth could undermine management's credibility if store closures continued. Neither silence nor optimism could substitute for measurable progress. For SUGAR, the question was no longer how to become visible everywhere. It was where, how and at what cost the company could become worth buying again—by consumers first, and by investors thereafter.

Annexures

Unless stated otherwise, financial years end 31 March. Figures are cited exactly or rounded as indicated; labels distinguish company-filed amounts quoted by media, management statements, and journalist/source estimates. No forward-looking estimates have been inserted as historical results.

Annexure A: Financial history reported from company filings

SUGAR Brands Pvt Ltd (formerly Vellvette Lifestyle), standalone, ₹ crore unless stated. Figures are as reported from Registrar of Companies (RoC) filings by business media.

Indicator	FY 2022–23	FY 2023–24	FY 2024–25	FY 2025–26
Operating revenue	420.28	505.10	404.4	Not yet filed (estimated ₹300–380)
YoY operating revenue growth	89.5% (from ₹221.8 crore in FY 2021–22)	20.2%	(19.9%)	Estimated (6%) to (26%)
Total income (incl. other income)	—	~515	~411.7	—
Reported net loss	76.24	67.58 / ~68.4*	~135	—
EBITDA loss	Margin about −14%	48.5	116	—
Advertising and sales promotion	162.6	161.6	Not publicly reported	—
Advertising as % of operating revenue	38.7%	32.0%	—	—
Employee benefit expense	60.8	~70	Not publicly reported	—
Total expenses	505.5	583.72	Not publicly reported	—

*The FY 2023–24 net loss was reported as ₹67.58 crore in the FY 2023–24 filing; reports on the FY 2024–25 filing cite ₹68.4 crore for the prior year, which may reflect a restatement. Advertising and total-expense figures for FY 2024–25 have not been reported in public coverage of the filing; FY 2025–26 accounts were not filed as of October 2026. Percentages are calculated from the figures shown.

Source: YourStory, 12 November 2024 [4]; Infomance (reporting RoC filings), 12 November 2024 [5]; Inc42, 4 September 2026 [1].

Reading note: FY 2024–25 figures are media reports based on private-company filings, not independently accessed audited statements. *FY 2023–24 loss is given as ₹67.58 crore by YourStory and rounded/defined as ₹68.4 crore in later coverage; the distinction should not be ignored. Growth percentages calculated from operating revenue.

Annexure B. Capital-raising history and status at the case decision date

Date	Reported event	What is established / limitation
2022	L Catterton-led $50 million Series D	Reported completed investment; valuation estimates vary by outlet.
1 Sep 2026	112,248 Series D7 CCPS at ₹12,871 each to A91	₹144.47 crore subscription reported from MCA filings.
4–8 Sep 2026	Published post-money valuations	Inc42 ~₹550–600 crore; Moneycontrol ~₹755 crore; competing estimates, not reconciled.
15 Sep 2026	Additional ₹100–105 crore discussed	Reported talks and possible future tranches; NOT completed cash at case cut-off.

Source: Inc42, 4 September 2026 [1]; Moneycontrol, 8 September 2026 [6]; Moneycontrol, 15 September 2026 [2].

Reading note: Do not calculate an undisputed valuation, liquidation return or cash runway without the fully diluted cap table, preference terms and verified balance sheet. The initial reported issue is distinct from prospective additional funding.

Annexure C. Reported retail reset and operating choices

Measure	Reported observation	Interpretation limit
Peak store footprint	Over 2,400 stores; ~200 EBOs	Moneycontrol source-defined store network; not the same as all multi-brand retail touchpoints.
Proposed rationalised network	~1,000–1,100 stores	Management plans described by sources, not certified completed count.
Proposed EBO footprint	~65, potentially ~35	Conditional plans linked to festive-season productivity.
Product range at peak	~850 SKUs	Reported historical breadth; not present assortment audit.
Products prioritised for availability	~250 core / NOOS SKUs	Reported focus; not evidence of product-level margins.
Earlier vs intended channel mix	Approx. 70:30 offline:online → ~50:50	Reported direction; not audited channel revenue.

Source: Moneycontrol founder interview and reporting, 15 September 2026 [2].

Reading note: EBO = exclusive brand outlet; NOOS = "never out of stock". The figures include journalist-sourced observations and reported plans, not an independently audited store register.

Annexure D. The warehouse fire and the information boundary

Item	Reported information	How participants should use it
Incident	Bhiwandi warehouse fire on 27 Nov 2024	Historical disruption reported in Moneycontrol.
Inventory affected	~₹80 crore at maximum retail price	MRP is not book value, realised sales or cash loss.
Management diagnosis	Inventory disruption plus overexpanded distribution	Reported founder interview; not a quantified causal allocation.
FY 2025–26 annual audited financials	Not available in the cited reporting as of Sep 2026	Do not present reported estimates as certified results.

Source: Moneycontrol, 15 September 2026 [2].

Reading note: The case intentionally excludes unverified estimates of cash burn, available debt facilities and estimated FY 2025–26 earnings from the numerical exhibits.

Annexure E. Selected competitor benchmarks (not a common-size ranking)

Organisation	Published scale measure	Period / comparability warning
SUGAR Cosmetics	₹404.4 crore operating revenue; ~₹135 crore net loss	FY 2024–25; private firm, reported from filings.
RENEE Cosmetics	₹440 crore operating revenue; ~₹36 crore EBITDA loss	FY 2025–26; company executive statement, different year and profit metric.
FSN E-Commerce / Nykaa	₹2,782 crore revenue; 324 beauty stores	Q1 FY 2026–27; group platform + retail + owned brands, not equivalent to SUGAR.
House of Nykaa	13 owned consumer brands in Q1 FY27	Company investor presentation; a portfolio, not a single cosmetics brand.

Source: Inc42 [1]; Indian Retailer [7]; FSN E-Commerce Q1 FY 2026–27 investor presentation dated 4 August 2026 [8].

Reading note: Do not divide unlike company metrics to infer market shares. Store count, gross merchandise value, net sales and operating revenue follow different definitions.

Annexure F. Selected calculated ratios from supplied financial figures

Measure	Arithmetic using annexure A	Result (approx.)
FY 2023–24 revenue growth	(505.10 – 420.28) ÷ 420.28	20.2%
FY 2024–25 revenue contraction	(404.4 – 505.10) ÷ 505.10	(19.9%)
FY 2023–24 A&P / operating revenue	162 ÷ 505.10	32.1%
FY 2024–25 net loss / operating revenue	135 ÷ 404.4	33.4%

Measure	Arithmetic using annexure A	Result (approx.)
Reported FY 2024–25 net loss increase vs 67.58	(135 – 67.58) ÷ 67.58	99.8%

Source: Author calculations from media-reported filing amounts in Annexure A [1, 4, 5].

Reading note: Derived ratios are not independently reported KPIs. Net loss is NOT the same as monthly cash burn; spending reductions do not mechanically increase profit one-for-one.

Source

[1] Inc42 (4 September 2026). SUGAR Cosmetics Raises ₹145 Cr From A91 At A Near 80% Valuation Cut.
https://inc42.com/buzz/sugar-cosmetics-raises-%E2%82%B9145-cr-from-a91-at-a-near-80-valuation-cut/

[2] Moneycontrol (15 September 2026). Fewer stores, fewer SKUs, sharper focus: Inside Sugar Cosmetics' makeover.
https://www.moneycontrol.com/news/business/startup/fewer-stores-fewer-skus-sharper-focus-inside-sugar-cosmetics-makeover-after-rs-250-crore-capital-lifeline-14030074.html

[3] SUGAR Cosmetics (Website accessed 2026). About us / brand purpose.
https://www.sugarcosmetics.com/pages/about-us

[4] YourStory (12 November 2024). SUGAR Cosmetics revenue up 20%, losses down 11% in FY24.
https://yourstory.com/2024/11/sugar-cosmetics-revenue-up-losses-down-fy24

[5] Infomance (12 November 2024). SUGAR Cosmetics posts ₹505 crore revenue, FY24 advertising expenditure.
https://www.infomance.com/startup-ecosystem/reports/financial-reports/updated-sugar-cosmetics-posts-rs-505-cr-revenue-cuts-losses-11-yoy-in-fy24/

[6] Moneycontrol (8 September 2026). SUGAR Cosmetics raises ₹144.5 crore from A91 at sharp valuation cut.
https://www.moneycontrol.com/news/business/funding/sugar-cosmetics-raises-rs-144-5-crore-from-a91-partners-at-sharp-valuation-cut-14024825.html

[7] Indian Retailer (29 May 2026). RENEE Cosmetics reports ₹440 crore FY26 revenue.
https://indianretailer.com/news/renee-cosmetics-reports-rs-440-cr-revenue-fy26-narrows-losses

[8] FSN E-Commerce Ventures (4 August 2026). Q1 FY27 Investor Presentation (BSE distribution / BazaarWatch reproduction).
https://bazaarwatch.com/announcement/42848/fsn-e-commerce-ventures-ltd-investor-presentation-for-analyst-institutional-investors-call

Source hierarchy: SUGAR official brand material and FSN issuer presentation were directly accessible; private-company financial and funding figures were independently cross-checked across credible outlets reporting access to corporate filings, but the underlying MCA records were not available for direct inspection. Conflicting valuation estimates and undefined store counts are clearly marked as such. Editorial cut-off: 20 October 2026.